PROPERTY CONDITION ASSESSMENT

Lantern Marketplace | Detroit, MI

Property	Lantern Marketplace
Address	1531 Airport Lane, Detroit, MI 64910
Site Visit Date	April 19, 2021
Client	Anchorage Meadow Partners
Immediate Repairs	$12,000

Construction Details

Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 27 stories. The roof is a 36-year membrane system with an estimated remaining useful life of 12 years. Average rent is $22 per square foot with parking at a ratio of 43 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $22 per square foot with parking at a ratio of 17 spaces per 1,000 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 4 stories.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $246,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $181,000. Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Building Systems

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 9 stories. Mechanical systems include rooftop package units and central plant equipment of varying age. Average rent is $22 per square foot with parking at a ratio of 5 spaces per 1,000 square feet.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 12 years and are in average to good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 46 stories.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 9 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $452,000.

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 10 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $97,000.

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Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 36-year membrane system with an estimated remaining useful life of 4 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Common area interiors have been refreshed within the last 10 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $464,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 6 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 4 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $416,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Building Systems

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average rent is $22 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Common area interiors have been refreshed within the last 10 years and are in average to good condition.

The roof is a 32-year membrane system with an estimated remaining useful life of 4 years. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $22 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 39 stories.

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $427,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $162,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Building Systems

Common area interiors have been refreshed within the last 10 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average rent is $22 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 10 years and are in average to good condition. The roof is a 33-year membrane system with an estimated remaining useful life of 10 years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Observed Conditions

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	11	16	5	Fair	$13,000	$230,000
Paving	29	31	2	Fair	$37,000	$266,000
HVAC	18	30	12	Fair	$6,000	$220,000
Plumbing	19	30	11	Fair	$23,000	$222,000
Electrical	10	10	0	Good	$29,000	$277,000
Elevators	6	31	25	Poor	$39,000	$169,000
Fire/Life Safety	1	39	38	Fair	$10,000	$153,000
Windows	6	21	15	Poor	$22,000	$236,000
Siding/Facade	25	32	7	Fair	$37,000	$233,000
Flooring	16	35	19	Fair	$11,000	$137,000
Appliances	20	23	3	Poor	$29,000	$45,000
Landscaping	7	11	4	Fair	$0	$202,000
Pool/Amenity	9	23	14	Poor	$13,000	$134,000
Signage	19	20	1	Fair	$2,000	$50,000
Fencing	24	35	11	Poor	$24,000	$183,000
Roof (2)	25	32	7	Fair	$0	$91,000
Paving (2)	11	29	18	Fair	$11,000	$103,000
HVAC (2)	18	38	20	Good	$3,000	$202,000
Plumbing (2)	5	27	22	Poor	$3,000	$271,000
Electrical (2)	2	21	19	Fair	$40,000	$264,000
Elevators (2)	28	28	0	Good	$10,000	$186,000
Fire/Life Safety (2)	11	38	27	Good	$38,000	$176,000
Windows (2)	3	11	8	Good	$34,000	$76,000
Siding/Facade (2)	5	20	15	Fair	$17,000	$278,000
Flooring (2)	17	30	13	Fair	$6,000	$37,000
Appliances (2)	6	22	16	Fair	$27,000	$146,000
Landscaping (2)	4	11	7	Fair	$32,000	$33,000
Pool/Amenity (2)	32	33	1	Fair	$27,000	$202,000
Signage (2)	6	11	5	Poor	$6,000	$250,000
Fencing (2)	30	34	4	Fair	$24,000	$60,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Sidewalk	Common	Trip hazards	Grind / replace	Year 2-5	$56,000
Stair treads	Roof	Worn / loose	Replace treads	Reserve	$39,500
Asphalt paving	Mechanical	Alligator cracking	Mill and overlay	Year 1	$76,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Immediate	$31,500
Handrail	Common	Loose	Secure	Reserve	$62,000
Stair treads	Bldg A	Worn / loose	Replace treads	Year 2-5	$78,000
HVAC unit	Site	Beyond useful life	Replace RTU	Immediate	$37,000
Window sealant	Common	Failed	Re-caulk	Reserve	$55,500
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Year 1	$10,000
Sprinkler heads	Roof	Painted heads	Replace	Reserve	$23,000
Window sealant	Bldg A	Failed	Re-caulk	Year 1	$22,000
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Year 1	$62,000
Fire extinguishers	Bldg A	Expired tags	Service	Year 2-5	$60,500
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Reserve	$2,500
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Reserve	$28,500
Window sealant	Bldg A	Failed	Re-caulk	Immediate	$6,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Immediate	$60,000
Window sealant	Site	Failed	Re-caulk	Year 2-5	$30,500
Fire extinguishers	Roof	Expired tags	Service	Reserve	$55,000
Dumpster enclosure	Bldg A	Damaged gate	Repair	Year 1	$16,500
Water heater	Bldg B	Corrosion	Replace	Reserve	$51,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Year 1	$14,500
Window sealant	Roof	Failed	Re-caulk	Immediate	$12,000
Dumpster enclosure	Common	Damaged gate	Repair	Year 1	$83,000
Sprinkler heads	Bldg B	Painted heads	Replace	Reserve	$4,500
Sprinkler heads	Common	Painted heads	Replace	Year 2-5	$7,000
Sprinkler heads	Roof	Painted heads	Replace	Reserve	$50,000
Roof membrane	Site	Ponding / seams	Re-seal and repair	Reserve	$87,000
Window sealant	Bldg B	Failed	Re-caulk	Reserve	$88,000
Fire extinguishers	Bldg A	Expired tags	Service	Year 2-5	$81,500
Handrail	Site	Loose	Secure	Year 2-5	$38,000
Sprinkler heads	Bldg A	Painted heads	Replace	Immediate	$73,500
Fire extinguishers	Bldg A	Expired tags	Service	Year 1	$69,000
Handrail	Bldg A	Loose	Secure	Reserve	$6,500
Sidewalk	Bldg A	Trip hazards	Grind / replace	Immediate	$63,000
Stair treads	Bldg B	Worn / loose	Replace treads	Immediate	$84,000
Dumpster enclosure	Roof	Damaged gate	Repair	Year 1	$89,000
Stair treads	Site	Worn / loose	Replace treads	Immediate	$17,000
Sidewalk	Bldg B	Trip hazards	Grind / replace	Year 2-5	$2,000
Asphalt paving	Site	Alligator cracking	Mill and overlay	Year 1	$48,500
Water heater	Bldg A	Corrosion	Replace	Year 1	$21,000
Roof membrane	Site	Ponding / seams	Re-seal and repair	Immediate	$24,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Immediate	$51,500

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Observed Conditions

Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $283,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $293,000. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 43 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $101,000. Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 42 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $86,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Observed Conditions

Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $378,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $292,000. Elevators were last modernized 9 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months.

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Improvements Description

The roof is a 4-year membrane system with an estimated remaining useful life of 7 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 31 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Common area interiors have been refreshed within the last 5 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $22 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. The roof is a 29-year membrane system with an estimated remaining useful life of 6 years.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $322,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 3 years ago and are operating without deficiency.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $346,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 3 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 26-year membrane system with an estimated remaining useful life of 12 years. Average rent is $22 per square foot with parking at a ratio of 47 spaces per 1,000 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $22 per square foot with parking at a ratio of 23 spaces per 1,000 square feet. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 39 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $247,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Construction Details

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Average rent is $22 per square foot with parking at a ratio of 40 spaces per 1,000 square feet.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Observed Conditions

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	17	38	21	Fair	$22,000	$276,000
Paving	25	27	2	Poor	$9,000	$87,000
HVAC	18	35	17	Poor	$23,000	$124,000
Plumbing	26	35	9	Poor	$7,000	$271,000
Electrical	3	38	35	Poor	$39,000	$133,000
Elevators	1	13	12	Poor	$9,000	$206,000
Fire/Life Safety	3	11	8	Poor	$13,000	$131,000
Windows	24	39	15	Poor	$13,000	$140,000
Siding/Facade	7	32	25	Good	$40,000	$107,000
Flooring	34	39	5	Fair	$33,000	$163,000
Appliances	3	10	7	Good	$19,000	$101,000
Landscaping	11	33	22	Fair	$31,000	$151,000
Pool/Amenity	12	14	2	Good	$38,000	$43,000
Signage	21	21	0	Good	$35,000	$207,000
Fencing	10	39	29	Poor	$22,000	$38,000
Roof (2)	15	34	19	Fair	$17,000	$74,000
Paving (2)	7	29	22	Good	$1,000	$82,000
HVAC (2)	7	12	5	Good	$25,000	$199,000
Plumbing (2)	6	12	6	Poor	$31,000	$36,000
Electrical (2)	10	12	2	Poor	$23,000	$39,000
Elevators (2)	3	15	12	Fair	$39,000	$86,000
Fire/Life Safety (2)	9	11	2	Poor	$8,000	$20,000
Windows (2)	24	37	13	Fair	$14,000	$195,000
Siding/Facade (2)	25	32	7	Fair	$35,000	$40,000
Flooring (2)	5	15	10	Poor	$37,000	$250,000
Appliances (2)	10	13	3	Good	$38,000	$202,000
Landscaping (2)	5	37	32	Fair	$29,000	$278,000
Pool/Amenity (2)	7	12	5	Poor	$7,000	$242,000
Signage (2)	21	26	5	Good	$4,000	$21,000
Fencing (2)	13	21	8	Good	$0	$119,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Sidewalk	Bldg B	Trip hazards	Grind / replace	Year 2-5	$54,000
Roof membrane	Mechanical	Ponding / seams	Re-seal and repair	Year 1	$42,500
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Reserve	$53,500
Stair treads	Bldg A	Worn / loose	Replace treads	Year 2-5	$32,000
Sprinkler heads	Bldg B	Painted heads	Replace	Year 1	$89,000
Handrail	Common	Loose	Secure	Immediate	$75,500
Stair treads	Bldg A	Worn / loose	Replace treads	Reserve	$19,500
Roof membrane	Mechanical	Ponding / seams	Re-seal and repair	Year 1	$31,000
Fire extinguishers	Mechanical	Expired tags	Service	Immediate	$71,000
Sidewalk	Bldg A	Trip hazards	Grind / replace	Reserve	$27,500
Handrail	Bldg A	Loose	Secure	Immediate	$21,000
Sidewalk	Mechanical	Trip hazards	Grind / replace	Year 1	$63,000
Stair treads	Mechanical	Worn / loose	Replace treads	Immediate	$13,000
Sidewalk	Common	Trip hazards	Grind / replace	Year 2-5	$63,500
Window sealant	Bldg B	Failed	Re-caulk	Reserve	$53,000
Stair treads	Site	Worn / loose	Replace treads	Reserve	$65,000
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Year 2-5	$78,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Year 2-5	$90,000
Stair treads	Site	Worn / loose	Replace treads	Year 2-5	$66,500
Fire extinguishers	Roof	Expired tags	Service	Year 1	$62,500
Water heater	Mechanical	Corrosion	Replace	Year 2-5	$76,500
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Year 1	$86,500
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Year 2-5	$72,000
Fire extinguishers	Mechanical	Expired tags	Service	Year 1	$22,000
HVAC unit	Site	Beyond useful life	Replace RTU	Reserve	$71,500
Stair treads	Bldg B	Worn / loose	Replace treads	Immediate	$47,000
Roof membrane	Common	Ponding / seams	Re-seal and repair	Year 2-5	$32,000
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Reserve	$16,000
Handrail	Bldg A	Loose	Secure	Year 1	$76,000
Roof membrane	Bldg A	Ponding / seams	Re-seal and repair	Year 1	$22,500
Asphalt paving	Common	Alligator cracking	Mill and overlay	Immediate	$24,500
Sprinkler heads	Common	Painted heads	Replace	Year 2-5	$53,500
Window sealant	Mechanical	Failed	Re-caulk	Year 2-5	$36,500
Stair treads	Common	Worn / loose	Replace treads	Year 1	$58,000
Roof membrane	Bldg A	Ponding / seams	Re-seal and repair	Year 1	$29,500
Stair treads	Mechanical	Worn / loose	Replace treads	Year 2-5	$34,000
Fire extinguishers	Common	Expired tags	Service	Year 2-5	$75,500
Sprinkler heads	Roof	Painted heads	Replace	Year 2-5	$21,000
HVAC unit	Common	Beyond useful life	Replace RTU	Reserve	$30,000
Water heater	Roof	Corrosion	Replace	Year 2-5	$28,500

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Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 7 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $266,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $226,000.

Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $441,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Lantern Marketplace and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on April 14, 2021.

Robert Young, Senior Associate

Northbridge Inspection Services

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